

What Are Credit Cards and How Do They Work?

A **credit card** is a card you receive from a bank that you can use to make purchases. You need to apply for a credit card in order to get one, and not everyone qualifies. When you do apply, a bank is going to look at your credit history and decide two things: whether or not to approve you for a credit card, and if you are approved, what your credit limit will be.

Your **credit limit** is the maximum amount of credit your lender is going to allow you to use. For example, if your bank gives you a credit limit of \$1,000, you are not going to be able to buy a laptop that costs \$1,400 with that credit card, because it would be \$400 over your limit. Likewise, you will not be able to buy two laptops that each cost \$700, because the \$1,400 total would also be over your credit limit. People often get in trouble with credit cards because they see their credit limits as money that they have, which is untrue. If a bank gives you a \$5,000 line of credit, it does not mean you actually have \$5,000 in the bank. So if you max that card out, but do not actually have money to pay for those purchases when the bill comes, you are going to have problems.

Unlike most other lines of credit, a credit card represents a **revolving line of credit**, which allows you to borrow more as you make payments on your debt (up to your credit limit). For example, let's say you have a credit card with a \$1,000 limit and buy something that costs \$200. Now you only have \$800 of credit you can borrow, because you have already borrowed \$200. But if you make a \$200 payment, your available credit goes back up to \$1,000. This is how revolving credit works.